BANGLADESH BANK
Head Office, Motijheel, Dhaka-1000
Banking Regulation and Policy Department (BRPD)

BRPD Circular No. 15 Date: 27 November 2024

Managing Director / Chief Executive Officer
All Scheduled Commercial Banks operating in Bangladesh

Subject: Master Policy on Loan Classification and Provisioning Alignment with IFRS 9

Dear Sir,
Please refer to BRPD Circular No. 14 dated 23 September 2012 and subsequent instructions issued on loan classification and provisioning standards for scheduled commercial banks.

1. Mandatory Staging Framework:
All scheduled commercial banks must classify their credit facilities into three distinct stages:
1.1 Stage 1 (Performing): Loans with no significant increase in credit risk. General provision: 1.00%.
1.2 Stage 2 (Underperforming): Significant increase in credit risk (overdue 30-89 days). Provision: 5.00%.
1.3 Stage 3 (Non-Performing): Overdue for 90 days or more. Must maintain specific provision.

2. Effective Date & Compliance Timeline:
The amended provisions shall come into force with effect from 01 January 2025.
All banks must submit an initial readiness report to BRPD within 31 December 2024.

3. Penal Sanctions:
Failure to comply with these provisions will attract penal actions under Section 109(7) of the Bank Company Act, 1991.

Annexure A: Required Provisioning Schedule

Table 1: Minimum Regulatory Provisioning Requirements

Loan Category	Overdue Period	Minimum Provision Rate
Standard (Continuous)	Not Overdue	1.00 percent
Special Mention Account	30 to 89 days	5.00 percent
Sub-Standard	90 to 179 days	20.00 percent
Doubtful	180 to 269 days	50.00 percent
Bad or Loss	270 days or more	100.00 percent